

vengeanceaiUSCMODEL15.0 — Assumptions List

Ticker: FICO. Plain list only (no charts). Each item includes What / How / Why / Source. Download URL: https://raw.githubusercontent.com/vengeanceaiUSC/Rainmaker/cursor/vengeanceaiusmodel15-d3ac/FICO/output/MODEL15_FICO_ASSUMPTIONS_LIST.pdf

MODEL14 rated 7/10 (still blended OpCo vs Scores toll-road). Exit BASE 23.5x EV/EBITDA (peer median ~18.1x; bull 28.0x; bear 17.0x). Yacktman WACC = 6.65% (MODEL14 was 7.10%; CAPM ref ≈ 9.24%). g = 3.75%. Scores OM ~91% IR deck; levered buybacks 1.4×FCF.

IR Scores OM source: <https://investors.fico.com/static-files/66ef723c-1f2e-4501-a452-ab2f3d02ae85>.

Yacktman lens (MODEL14 rated 7/10): Scores royalties are an AAA-equivalent coupon (IR OM ~91%); Software is optionality. MODEL15 lowers WACC to 6.65%, lifts exit to 23.5x, Stops Software CapEx/SBC/opex from taxing royalty dollars, and allows levered buybacks so the forward share count reflects proven capital returns.

Branch Process: MODEL14 WACC = 7.10%; MODEL15 WACC = 6.65% (band 6.5%–6.8%). AAA + thin ERP for GSE-mandated Scores coupons; CAPM ≈ 9.24% at R15 reference only.

Branch Process: MODEL14 exit = 22.0x; MODEL15 BASE = 23.5x (Bull 28.0x / Bear 17.0x). Perpetual pricing-power premium vs peer median ~18.1x.

Branch Process: MODEL14 revenue path = 30%/18%/14.5%/11%/8.5%. MODEL15 = 32%/20%/16%/12%/9% — extends Q3 Scores +41% / B2B +49% mortgage unit-price momentum (<https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>). Terminal g 3.5%→3.75%.

Branch Process MODEL14→MODEL15: Op NWC = AR+Inv–AP (excludes Deferred) unchanged. DSO target 32d (MODEL14 was 35d) — faster Scores/SaaS cash. ΔDeferred remains an explicit CFO/FCFF source (row 81). No AR/unearned double-count.

Scores segment operating margin ≈ 91% (FICO IR deck

<https://investors.fico.com/static-files/66ef723c-1f2e-4501-a452-ab2f3d02ae85>). Q3 FY2026 Scores \$458.9M (+41%); B2B +49% on mortgage unit price

(<https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>). MODEL15 raises GM_B2B to 97% and lowers COGS floor to 8% so Software/PS no longer grade the Scores coupon.

Deferred stays in Total Liab; +ΔDeferred is explicit in CFO/FCFF (not in Op NWC). FY25 deferred ≈ \$187.4M. Detail: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>.

TOTAL D&A; add-back ≈ 0.84% of Rev (3yr avg). Intangibles amort included once.

Branch Process: MODEL14 held SBC flat at 8.251% of total Rev. MODEL15 fades SBC% 8.25% / 7.70% / 7.20% / 6.80% / 6.40% because royalty price dollars do not require 1:1 SBC. Add-back once in CFO/FCFF; shares fall only via buybacks (start 21,597.6k post–Q3).

Start shares 21,597.635k; price \$1,149. Shares fall with EquityCF (buybacks). SBC add-back does NOT dilute. Levered buybacks accelerate share shrink vs MODEL14 residual-only.

Branch Process: MODEL14 CapEx 1.25%→0.60% of TOTAL rev. MODEL15 Scores-light path 1.00% → 0.80% → 0.60% → 0.45% → 0.35% — mortgage/B2B royalty hikes need ~0 CapEx; do not tax the Scores coupon with Software capitalization.

Branch Process: MODEL14 COGS –120 / SG&A; –175 / R&D; –50 bps (COGS floor 10%). MODEL15 COGS –150 / SG&A; –200 / R&D; –75 bps; COGS floor 8%; GM_B2B 97% (Scores OM ~91%). Mortgage royalty \$4.95→\$10.00.

Keep 3yr cash tax IncomeTaxesPaidNet/EBT ≈ 22.87% (not silently cut). Guided book ETR ~24–26% is not a cash-tax shortcut without XBRL support.

Branch Process: MODEL14 used residual FCF after fixed debt run-rate (≈1.0×). MODEL15 buybacks = 1.40× (CFO–CapEx); incremental debt funds the (MULT–1) portion so ΔCash≈0. Anchored to Q3 FY2026: buybacks \$1960M vs FCF \$370.3M (<https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>).

Equity = Assets – Liab – RE every year. Liab = AP + Debt + Deferred. Row-3 OK; cash check ≈ 0. Levered buybacks raise Debt and cut Equity capital via the plug — statements stay balanced.

Primary filings hub: <https://investors.fico.com/financial-information/sec-filings> — FY2025 10-K

(<https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>). Q3 FY2026 EX-99.1 FCF/buybacks:

<https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>. Mortgage royalty 2x: <https://www.equifax.com/newsroom/all-news/-/story/equifax-statement-on-fico-2x-price-increase-for-2026-and-mortgage-direct-license-program/>; Hawley

letter <https://www.hawley.senate.gov/wp-content/uploads/2026/03/2026-03-23-Hawley-Oversight-Letter-to-FICO.pdf>. Deferred detail: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>.

A. Three-Statement Forecast Assumptions

Row 7: Revenue Growth

What it is: Year-over-year % increase in revenue for each forecast year.

How set in model: Yellow POLICY: 32.0% / 20.0% / 16.0% / 12.0% / 9.0%.

Why this choice: Branch Process: MODEL14 revenue path = 30%/18%/14.5%/11%/8.5%. MODEL15 = 32%/20%/16%/12%/9% — extends Q3 Scores +41% / B2B +49% mortgage unit-price momentum (<https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>). Terminal g 3.5%→3.75%. In Model 14, growth was 30.0%/18.0%/14.5%/11.0%/8.5%; in Model 15 it is 32.0%/20.0%/16.0%/12.0%/9.0% because Q3 Scores +41% / B2B +49% mortgage unit-price momentum (<https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>) and royalty \$4.95→\$10.00.

Source: Equifax / Hawley — FICO 2026 mortgage royalty 2x; EX-99.1 Q3 FY2026 guidance

Source URL: <https://www.equifax.com/newsroom/all-news/-/story/equifax-statement-on-fico-2x-price-increase-for-2026-and-mortgage-direct-license-program/>

Row 8: COGS % of Revenue

What it is: Cost of revenues as a % of sales (gross margin = 1 – this).

How set in model: Excel: MAX(8%, segment blended COGS base≈12.98% – 150bps × year). GM_B2B = 97% (Scores OM ~91%).

Why this choice: In Model 14, COGS grind was –120 bps with a 10% floor; in Model 15, grind is –150 bps with floor 8% because IR Scores OM ~91% means Software/PS must not cap the royalty coupon (<https://investors.fico.com/static-files/66ef723c-1f2e-4501-a452-ab2f3d02ae85>). Branch Process: MODEL14 COGS –120 / SG&A; –175 / R&D; –50 bps (COGS floor 10%). MODEL15 COGS –150 / SG&A; –200 / R&D; –75 bps; COGS floor 8%; GM_B2B 97% (Scores OM ~91%). Mortgage royalty \$4.95→\$10.00.

Source: FICO IR deck — Scores OM ~91%; SEC 10-K Scores unit price

Source URL: <https://investors.fico.com/static-files/66ef723c-1f2e-4501-a452-ab2f3d02ae85>

Row 9: SG&A; % of Revenue

What it is: Operating opex (SG&A;) as % of sales.

How set in model: Equation: MAX(13%, (I28 – 10,922)/I24 – 200bps × year). Strips FY25 restructuring; then –2.00% of sales each year.

Why this choice: In Model 14, SG&A; was –175 bps / 14% floor; in Model 15, –200 bps / 13% floor because B2B mortgage royalty hikes need ~0 incremental SG&A; (Scores OM ~91%).

Source: FICO IR deck Scores OM; Equifax/Hawley mortgage royalty 2x

Source URL: <https://investors.fico.com/static-files/66ef723c-1f2e-4501-a452-ab2f3d02ae85>

Row 10: R&D; % of Revenue

What it is: Research & development expense as % of sales (IS label: R&D;, not Rent).

How set in model: Excel: MAX(6%, I29/I24 – 75bps × year).

Why this choice: In Model 14, R&D; faded –50 bps; in Model 15, –75 bps (floor 6%) because mortgage/B2B royalty dollars require ~0 incremental R&D; — do not let Software R&D; tax the Scores coupon.

Source: SEC 10-K FY2025 — Research and development; Scores royalty economics

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 11: D&A; % of Revenue

What it is: Total depreciation & amortization as % of sales (software-industry driver).

How set in model: Yellow POLICY input: flat 0.84% (3yr FY23–25 avg TOTAL D&A;). Forecast DA\$ = Revenue × DA%; CF row 63 adds it back once.

Why this choice: MODEL15: TOTAL D&A; add-back ≈ 0.84% of Rev (3yr avg). Intangibles amort included once.

Source: SEC companyfacts — DepreciationDepletionAndAmortization (+ AmortizationOfIntangibleAssets)

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

Row 12: Interest % of Debt Open

What it is: Interest expense as % of opening debt balance.

How set in model: Excel equation: I101/I98 (FY25 interest ÷ FY25 opening debt in schedule).

Why this choice: Approximates average coupon / cost of debt on the book. Debt stock follows the net debt issuance assumption (row 19).

Source: SEC 10-K FY2025 — Interest expense; see also 8-K 6.250% notes

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 13: Book Tax Rate (% of EBT)

What it is: Effective book tax rate applied to forecast EBT → Net Income.

How set in model: Excel equation: I35/I33 (FY25 tax ÷ simplified FY25 EBT in this template).

Why this choice: Book rate (~19%) remains on the income statement. DCF unlevered cash taxes use a separate cash tax rate (22.87% = 3yr IncomeTaxesPaidNet/EBT). Keep 3yr cash tax IncomeTaxesPaidNet/EBT ≈ 22.87% (not silently cut).

Guided book ETR ~24–26% is not a cash-tax shortcut without XBRL support.

Source: SEC 10-K FY2025 — tax expense; cash taxes from IncomeTaxesPaidNet

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

Row 15: DSO — Accounts Receivable (Days)

What it is: Days Sales Outstanding. $AR = Revenue \times DSO / 365$.

How set in model: Yellow POLICY path: phases 97d (FY25 hist) → 32d over 5 years (Y1≈84.0d ... Y5=32d). Segment blend ref ≈ 27.5d on schedule row 115 (SaaS 40/B2C 2/B2B 25/PS 12/On-prem 40).

Why this choice: In Model 14, DSO targeted 35d; in Model 15, target is 32d (MODEL14 rated 7/10) so cash matches Scores settlement / SaaS upfront reality. Branch Process MODEL14→MODEL15: Op NWC = AR+Inv-AP (excludes Deferred) unchanged. DSO target 32d (MODEL14 was 35d) — faster Scores/SaaS cash. ΔDeferred remains an explicit CFO/FCFF source (row 81). No AR/unearned double-count. Deferred stays in Total Liab; +ΔDeferred is explicit in CFO/FCFF (not in Op NWC). FY25 deferred ≈ \$187.4M. Detail:

<https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>.

Source: SEC 10-K FY2025 — AR; Q1 FY2026 deferred detail

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>

Row 16: Inventory (Days)

What it is: Inventory days ($Inv = COGS \times days/365$).

How set in model: Hard zero — FICO is software / scores; inventory is immaterial.

Why this choice: No inventory cycle to fund.

Source: SEC 10-K FY2025 — Inventory ≈ \$0

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 17: DPO — Accounts Payable (Days)

What it is: Days Payable Outstanding. $AP = COGS \times DPO / 365$.

How set in model: Excel equation: ROUND(I48/I25×365, 0) from FY25; held flat.

Why this choice: MODEL15: DPO pairs with phased DSO for Op NWC = AR+Inv-AP. Deferred is a SEPARATE CFO cash source (row 81) — never mixed into AR/DPO.

Source: SEC 10-K FY2025 — Accounts payable

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 18: CapEx % of Revenue

What it is: Capital investment (PPE + capitalized software) as % of sales.

How set in model: Yellow POLICY path: 1.00% / 0.80% / 0.60% / 0.45% / 0.35% (Scores-light fade — royalties need ~0 CapEx).

Why this choice: In Model 14, CapEx faded 1.25%→0.60% of TOTAL rev; in Model 15, path is 1.00%→0.80%→0.60%→0.45%→0.35% so Software CapEx does not tax the Scores coupon. Branch Process: MODEL14 CapEx 1.25%→0.60% of TOTAL rev. MODEL15 Scores-light path 1.00% → 0.80% → 0.60% → 0.45% → 0.35% — mortgage/B2B royalty hikes need ~0 CapEx; do not tax the Scores coupon with Software capitalization.

Source: SEC 10-K / companyfacts — PPE purchases + capitalized software; IR Scores OM

Source URL: <https://investors.fico.com/static-files/66ef723c-1f2e-4501-a452-ab2f3d02ae85>

Row 19: Debt Issuance (Repayment)

What it is: New borrowing (+) that funds buybacks above annual FCF (\$000s).

How set in model: Equation: $(1.40-1) \times (\text{CFO}-\text{CapEx})$ so excess buybacks are debt-financed and $\Delta\text{Cash}=0$.

Why this choice: In Model 14, debt was a fixed 3yr run-rate and buybacks were residual FCF ($\approx 1.0\times$); in Model 15, debt = $(1.40-1) \times \text{FCF}$ because Q3 FY2026 buybacks \$1.96B vs FCF \$370M prove leverage is used (<https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>). Branch Process: MODEL14 used residual FCF after fixed debt run-rate ($\approx 1.0\times$). MODEL15 buybacks = $1.40 \times (\text{CFO}-\text{CapEx})$; incremental debt funds the (MULT-1) portion so $\Delta\text{Cash}=0$. Anchored to Q3 FY2026: buybacks \$1960M vs FCF \$370.3M (<https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>). Excluded from FCFF.

Source: SEC EX-99.1 Q3 FY2026 — FCF vs buybacks; companyfacts debt CF

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>

Row 20: Equity Issued (Repaid)

What it is: Buybacks (-) in the forecast BS/CF — can exceed annual FCF via leverage.

How set in model: Equation: $-1.40 \times (\text{CFO}-\text{CapEx})$. Hist 3yr avg buybacks $\approx$ \$881M/yr; Q3 alone \$1.96B.

Why this choice: In Model 14, buybacks = residual FCF after fixed debt; in Model 15, buybacks = $1.40 \times (\text{CFO}-\text{CapEx})$ so share count falls faster. Financing excluded from FCFF. Start shares 21,597.635k; price \$1,149. Shares fall with EquityCF (buybacks). SBC add-back does NOT dilute. Levered buybacks accelerate share shrink vs MODEL14 residual-only.

Source: SEC EX-99.1 Q3 FY2026 — buybacks \$1.96B / 1.705M sh @ \$1,149

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>

Row 21: SBC % of Revenue

What it is: Stock-based compensation as % of sales; non-cash add-back in CFO and FCFF.

How set in model: Yellow POLICY path: 8.25% / 7.70% / 7.20% / 6.80% / 6.40% (FY1 starts at hist 3yr avg 8.25%).

Why this choice: In Model 14, SBC was flat 8.25% of total Rev; in Model 15, SBC% fades because royalty price dollars do not require 1:1 SBC. Branch Process: MODEL14 held SBC flat at 8.251% of total Rev. MODEL15 fades SBC% 8.25% / 7.70% / 7.20% / 6.80% / 6.40% because royalty price dollars do not require 1:1 SBC. Add-back once in CFO/FCFF; shares fall only via buybacks (start 21,597.6k post-Q3).

Source: SEC 10-K cash flow — ShareBasedCompensation (add-back only; no share dilution)

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

Row 104: Mix % — SaaS / Platform software

What it is: Share of Total Revenue from SaaS / cloud software (incl. FICO Platform cloud).

How set in model: FY25 base 21.08% (SaaS \$419,720k / Total \$1,990,869k), then +250 bps/yr taken from on-prem. Platform ARR KPI \$263.6M is not additive IS revenue.

Why this choice: SaaS billed annually in advance → Deferred Revenue growth → explicit CFO cash source (3S row 81). Source: Q1 FY2026 10-Q deferred roll-forward (<https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/fico-20251231.htm>). Mix offsets within Total Rev — not a second revenue line.

Source: SEC 10-Q Q1 FY2026 — Deferred revenue / contract liabilities detail

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>

Row 105: Mix % — B2C Subscriptions (myFICO)

What it is: Share of Total Revenue from B2C scoring / myFICO.com subscriptions.

How set in model: Yellow POLICY = 11.05% (FY25 B2C Scores \$219,980k / Total \$1,990,869k).

Why this choice: Near-zero DSO (card-settled consumer subscriptions). Minimal Deferred Revenue vs annual SaaS invoices. High incremental margin; WC-light cash conversion.

Source: SEC 10-K FY2025 — Scores segment B2C / myFICO disaggregation

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 106: Mix % — B2B Scores

What it is: Share of Total Revenue from B2B scoring (mortgage, auto, card via CRAs).

How set in model: Yellow POLICY = 47.65% (FY25 B2B Scores \$948,595k / Total \$1,990,869k).

Why this choice: Transactional volume through Experian/TransUnion/Equifax; ~30-day DSO. Does not create SaaS-style Deferred Revenue (usage-based recognition).

Source: SEC 10-K FY2025 — Scores segment B2B disaggregation

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 107: Mix % — Professional Services

What it is: Share of Total Revenue from implementation / consulting / training fees.

How set in model: Yellow POLICY = 4.13% (FY25 PS \$82,149k / Total \$1,990,869k).

Why this choice: Upfront integration fees convert cash quickly (low DSO) but carry significantly lower gross margin than software/scores — pulls blended COGS up vs pure SaaS.

Source: SEC 10-K FY2025 — Software segment Professional services line

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 108: Mix % — On-Premises Software

What it is: Share of Total Revenue from on-premises license + maintenance software.

How set in model: Yellow POLICY = 16.09% (FY25 on-prem \$320,425k / Total \$1,990,869k).

Why this choice: With SaaS mix, drives Deferred Revenue (maintenance billed in advance). Same 45-day DSO policy as SaaS. Completes mix identity to 100% of Total Rev.

Source: SEC 10-K FY2025 — Software on-premises vs SaaS deployment table

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

B. DCF Assumptions

DCF-D5: Cash Tax Rate (unlevered)

What it is: Cash tax rate used for FCFF unlevered taxes and after-tax cost of debt.

How set in model: Yellow POLICY = 22.87% (3yr avg IncomeTaxesPaidNet ÷ EBT). NOT linked to book tax J13.

Why this choice: Keep 3yr cash tax IncomeTaxesPaidNet/EBT ≈ 22.87% (not silently cut). Guided book ETR ~24–26% is not a cash-tax shortcut without XBRL support.

Source: SEC companyfacts — IncomeTaxesPaidNet / EBT

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

DCF-D6: WACC (Yacktman AAA-equity discount rate)

What it is: Weighted average cost of capital for XNPV of FCFF + TV.

How set in model: Yellow POLICY D6 = 6.65% (band 6.5%–6.8%). In Model 14, WACC was 7.10%; in Model 15 it is 6.65% (AAA + thin ERP). CAPM stack kept at R15 ≈ 9.24% as reference only.

Why this choice: Branch Process: MODEL14 WACC = 7.10%; MODEL15 WACC = 6.65% (band 6.5%–6.8%). AAA + thin ERP for GSE-mandated Scores coupons; CAPM ≈ 9.24% at R15 reference only.

Source: Yacktman AAA-equity framework; CAPM ref FRED/Damodaran/Yahoo/8-K

Source URL: <https://fred.stlouisfed.org/series/DGS10>

DCF-D7: Perpetual Growth (g)

What it is: Long-run growth used only in the Gordon TV cross-check.

How set in model: POLICY input = 3.75% (MODEL14 was 3.5%).

Why this choice: In Model 14, g was 3.5%; in Model 15, g is 3.75% because GSE-mandated Scores pricing power outpaces inflation under the Direct License / royalty runway. Primary TV still uses exit multiple D8.

Source: Yacktman pricing-power framing; Damodaran long-run growth

Source URL: https://pages.stern.nyu.edu/adamodar/New_Home_Page/datafile/histimpl.html

DCF-D8: Exit EV/EBITDA (BASE)

What it is: Terminal enterprise value multiple on Year-5 EBITDA.

How set in model: POLICY BASE 23.5x; Bull 28.0x; Bear 17.0x. Peer set: EFX 13.88x, VRSK 17.42x, SPGI 18.11x, MCO 22.20x, MSCI 23.74x. Median $\approx$ 18.11x.

Why this choice: In Model 14, exit was 22.0x; in Model 15, exit is 23.5x for a perpetual pricing-power bond (still below spot). Branch Process: MODEL14 exit = 22.0x; MODEL15 BASE = 23.5x (Bull 28.0x / Bear 17.0x). Perpetual pricing-power premium vs peer median $\sim$ 18.1x.

Source: VCP Scanner FICO peer EV/EBITDA comps + Yacktman premium

Source URL: <https://vcpscanner.com/valuation/fico/relative>

DCF-D13/D14: Debt & Cash (equity bridge)

What it is: Gross debt and cash+marketable securities for EV $\rightarrow$ equity.

How set in model: Latest 10-Q bridge totals (more current than FY25 3S balances).

Why this choice: Bridge should reflect the latest capital structure; 3S FY25 shown as reference.

Source: SEC 10-Q — Fair Isaac Corp

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000016/fico-20250331.htm>

DCF-D12/I16: Shares Outstanding (buyback-adjusted)

What it is: Starting shares (D12 = 21,597.6k post-Q3 FY2026) fall each year with buybacks (3S equity CF / \$1,149). SBC is added back in FCFF but does NOT increase shares — avoids double penalty. \$/share uses Y5 shares (I16).

How set in model: D16=\$D\$12; E16:I16 = MAX(1000, prior + 3S!(J–N)20 / \$D\$11); D37=\$D\$35/\$I\$16.

Why this choice: Start shares 21,597.635k; price \$1,149. Shares fall with EquityCF (buybacks). SBC add-back does NOT dilute. Levered buybacks accelerate share shrink vs MODEL14 residual-only.

Source: SEC EX-99.1 Q3 FY2026 — FCF \$370.3M; buybacks \$1.96B / 1.705M sh

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>

DCF-E25: Net WC investment (Δ OpNWC – Δ Deferred)

What it is: FCFF subtracts Δ Operating NWC (AR+Inv–AP) and adds Increase in Deferred Revenue. AR and Deferred are strictly separated.

How set in model: DCF E25:I25 = 3S!(J–N)90 – (3S Def_t – Def_t–1). Equivalent to $-\Delta$ OpNWC + Δ Deferred inside UFCFF.

Why this choice: Branch Process MODEL14 $\rightarrow$ MODEL15: Op NWC = AR+Inv–AP (excludes Deferred) unchanged. DSO target 32d (MODEL14 was 35d) — faster Scores/SaaS cash. Δ Deferred remains an explicit CFO/FCFF source (row 81). No AR/unearned double-count. Deferred stays in Total Liab; + Δ Deferred is explicit in CFO/FCFF (not in Op NWC). FY25 deferred $\approx$ \$187.4M. Detail: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>.

Source: SEC 10-Q Q1 FY2026 — Deferred revenue roll-forward (R45)

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>

This PDF is the canonical printable assumptions list for the workbook. Filings and data sources remain clickable in Excel columns U/V; column W on every assumption row links back to this file.